genuine biotech blue chip, with earnings of $1 billion plus. One of the numerous biotech mutual funds might be worth a long-term commitment for part of your money.

Market commentators fill airspace and magazine space with comparisons between today's market and some earlier market, such as "This looks a lot like 1962," or "This reminds me of 1981," or when they're feeling very gloomy, "We're facing 1929 all over again." Lately the prevailing comparison seems to be with the early 1970s, when the smaller stocks faltered while the larger stocks (especially the highly touted "Nifty Fifty") continued to rise. Then, in the bear market of 1973–74, the Nifty Fifty fell 50–80 percent! This unsettling decline disproved the theory that big companies were bearproof.

If you owned the Nifty Fifty and held on to the lot for twenty-five years (preferably you were stranded on a desert island with no radios, TV sets, or magazines that told you to abandon stocks forever), you're not unhappy with the results. Though it took them a generation to do it, the Nifty Fifty made a full recovery and then some. By the mid-1990s the Nifty Fifty portfolio had caught up and passed the Dow and the S&P 500 in total return since 1974. Even if you bought them at sky-high prices in 1972, your choice was vindicated.

Once again, we've got the fifty largest companies selling for prices that skeptics describe as "too much to pay." Whether this latter-day Nifty Fifty will suffer a markdown on the order of the 1973–74 fire sale is anybody's guess. History tells us that corrections (declines of 10 percent or more) occur every couple of years, and bear markets (declines of 20 percent or more) occur every six years. Severe bear markets (declines of 30 percent or more) have materialized five times since the 1929–32 doozie. It's foolish to bet we've seen the last of the bears, which is why it's important not to buy stocks or stock mutual funds with money you'll need to spend in the next twelve months to pay college bills, wedding bills, or whatever. You don't want to be forced to sell in a losing market to raise cash. When you're a long-term investor, time is on your side.

The long bull market continues to hit occasional potholes. When *One Up* was written, stocks had just recovered from the 1987 crash. The worst fall in fifty years coincided with a Lynch golfing vacation in Ireland. It took nine or ten more trips (we bought a house in Ireland) to convince me that my setting foot on Irish sod wouldn't trigger another panic. I didn't feel too comfortable visiting Israel, Indonesia, or India, either. Setting foot in countries that begin with "I" made me nervous. But I made two trips to Israel and two to India and one to Indonesia, and nothing happened.

So far, 1987 hasn't been repeated, but the bears arrived in 1990, the year I left my job as manager of the Fidelity Magellan Fund. While the 1987 decline scared a lot of people (a 35 percent drop in two days can do that), to me the 1990